

Texas MLO Master Manual: Math, Equations, Timing, Letters, and Field Execution

How to Use This Manual

This manual is for the parts of mortgage training that punish guessing:

- Math and equations.
- Disclosure timing.
- Letter and notice deadlines.
- File workflow.
- Exam scenarios where one missed date changes the answer.

Use this alongside:

- [texas_mlo_5_day_training_study_guide_chapters_1_6.md](#)
- [mortgage_loan_officer_texas_3_day_flashcards.md](#)
- [mortgage_loan_officer_texas_printable_flashcards.pdf](#)

Primary official sources checked May 25, 2026:

- NMLS SAFE MLO National Test with Uniform State Test Content Outline: https://mortgage.nationwidelicensingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo_testing/mlo_test_faq/mlo_testing_hbk_testOutline.html
- CFPB Regulation Z, 12 CFR 1026.19, mortgage and TRID timing: <https://www.consumerfinance.gov/rules-policy/regulations/1026/19/>
- CFPB Regulation Z, 12 CFR 1026.23, right of rescission: <https://www.consumerfinance.gov/rules-policy/regulations/1026/23/>
- CFPB Regulation B, 12 CFR 1002.9, notifications/adverse action: <https://www.consumerfinance.gov/rules-policy/regulations/1002/9/>
- CFPB Regulation X, 12 CFR 1024.6, special information booklet: <https://www.consumerfinance.gov/rules-policy/regulations/1024/6/>
- CFPB Regulation X, 12 CFR 1024.17, escrow accounts: <https://www.consumerfinance.gov/rules-policy/regulations/1024/17/>
- CFPB Regulation X, 12 CFR 1024.33, mortgage servicing transfers: <https://www.consumerfinance.gov/rules-policy/regulations/1024/33/>
- CFPB Regulation Z, 12 CFR 1026.31, high-cost mortgage disclosures: <https://www.consumerfinance.gov/rules-policy/regulations/1026/31/>
- CFPB Regulation Z, 12 CFR 1026.39, mortgage transfer disclosures: <https://www.consumerfinance.gov/rules-policy/regulations/1026/39/>
- Texas SML Mortgage Origination Laws and Regulations: <https://www.sml.texas.gov/mortgage-origination/laws/>
- Texas SML Mortgage Origination FAQs: <https://www.sml.texas.gov/mortgage-origination/faqs/>
- Texas OCCC Residential Mortgage Loan Originators: <https://occc.texas.gov/industry/RMLOs>

Important:

This is a study and field-training manual, not legal advice. In the field, use company policy, current investor guidelines, compliance department instructions, and current law.

Part 1 - Master Math System

1.1 The Mortgage Math Mindset

Mortgage math is not hard because of advanced algebra. It is hard because people rush, mix annual and monthly numbers, confuse purchase price with appraised value, or forget what belongs in the numerator and denominator.

Use this sequence every time:

1. Identify what the question asks for.
2. Circle the required formula.
3. Convert percentages to decimals when multiplying.
4. Keep annual numbers annual and monthly numbers monthly.
5. Write units: dollars, percentage, months, years, days.
6. Check whether the answer is reasonable.

Example:

If a borrower earns \$96,000 per year, the monthly gross income is not \$96,000. It is $\$96,000 / 12 = \$8,000$.

If annual property taxes are \$7,200, the monthly escrow amount for taxes is $\$7,200 / 12 = \600 .

1.2 Core Symbols

Symbol	Meaning
LA	Loan amount
PP	Purchase price
AV	Appraised value
PV	Property value
TL	Total liens
GMI	Gross monthly income
HD	Monthly housing debt
TMD	Total monthly debt
IR	Interest rate
APR	Annual percentage rate
P&I	Principal and interest
PITIA	Principal, interest, taxes, insurance, and association dues
MI	Mortgage insurance
HOA	Homeowners association dues
MIP	Mortgage insurance premium, often used in FHA context
UFMIP	Upfront mortgage insurance premium
VAFF	VA funding fee

1.3 Percentage Conversions

To convert percentage to decimal:

Percentage / 100 = decimal.

Examples:

- 80% = 0.80.
- 6.5% = 0.065.
- 1.25% = 0.0125.
- 0.50% = 0.005.

To convert decimal to percentage:

Decimal x 100 = percentage.

Examples:

- 0.80 = 80%.
- 0.065 = 6.5%.
- 0.0125 = 1.25%.

Exam trap:

Do not multiply \$300,000 by 6.5. Multiply by 0.065.

1.4 Loan-to-Value Ratio

Formula:

Loan amount / property value = LTV.

For a purchase transaction, guidelines may use the lower of purchase price or appraised value. The exam may simply say property value. Read carefully.

Example 1:

- Purchase price: \$350,000.

- Loan amount: \$315,000.

Calculation:

$$\$315,000 / \$350,000 = 0.90 = 90\% \text{ LTV.}$$

Example 2:

- Purchase price: \$400,000.
- Appraised value: \$390,000.
- Loan amount: \$360,000.

If using lower of purchase price or appraised value:

$$\$360,000 / \$390,000 = 0.9231 = 92.31\% \text{ LTV.}$$

Field meaning:

LTV helps determine risk, pricing, mortgage insurance, program eligibility, and equity position.

Exam shortcut:

Higher down payment means lower LTV. Lower property value with same loan amount means higher LTV.

1.5 Combined Loan-to-Value Ratio

Formula:

$$\text{Total liens} / \text{property value} = \text{CLTV.}$$

Example:

- First mortgage: \$280,000.
- Second mortgage: \$35,000.
- Property value: \$350,000.

Calculation:

$$\$280,000 + \$35,000 = \$315,000.$$

$$\$315,000 / \$350,000 = 0.90 = 90\% \text{ CLTV.}$$

Field meaning:

CLTV matters when there is a second lien, HELOC, simultaneous second mortgage, or subordinate financing.

Exam trap:

Do not use only the first mortgage when the question asks for combined LTV.

1.6 High Combined Loan-to-Value

Formula:

$$\text{Total liens including full line amount of HELOC} / \text{property value} = \text{HCLTV.}$$

Example:

- First mortgage: \$300,000.
- HELOC balance: \$10,000.
- HELOC credit limit: \$50,000.
- Property value: \$400,000.

CLTV using current balance:

$$(\$300,000 + \$10,000) / \$400,000 = 77.5\%.$$

HCLTV using full line:

$$(\$300,000 + \$50,000) / \$400,000 = 87.5\%.$$

Field meaning:

Some guidelines care about the maximum possible draw, not just the current HELOC balance.

1.7 Down Payment

Formula:

Purchase price - loan amount = down payment.

Example:

- Purchase price: \$425,000.
- Loan amount: \$382,500.

Calculation:

$\$425,000 - \$382,500 = \$42,500$ down payment.

Down payment percentage:

Down payment / purchase price = down payment percentage.

$\$42,500 / \$425,000 = 0.10 = 10\%$.

Exam trap:

If the property appraises lower than purchase price, the borrower may need more cash. The lender may base maximum loan amount on lower value, but the seller still expects the contract price unless renegotiated.

1.8 Equity

Formula:

Property value - total liens = equity.

Example:

- Property value: \$500,000.
- Mortgage balance: \$320,000.

Calculation:

$\$500,000 - \$320,000 = \$180,000$ equity.

Equity percentage:

Equity / property value = equity percentage.

$\$180,000 / \$500,000 = 36\%$.

Field meaning:

Equity is central in refinance, cash-out, HELOC, and home equity conversations.

1.9 Front-End Housing Ratio

Formula:

Proposed housing payment / gross monthly income = front-end ratio.

Housing payment commonly includes:

- Principal.
- Interest.
- Property taxes.
- Homeowners insurance.
- Mortgage insurance.
- HOA or association dues when applicable.

Example:

- Gross monthly income: \$8,500.
- Principal and interest: \$2,150.
- Taxes: \$600.
- Insurance: \$175.
- Mortgage insurance: \$110.
- HOA: \$75.

Housing payment:

$\$2,150 + \$600 + \$175 + \$110 + \$75 = \$3,110$.

Front-end ratio:

$\$3,110 / \$8,500 = 0.3659 = 36.59\%$.

Exam trap:

Do not use net income unless the question specifically says to. Mortgage qualifying ratios generally use gross monthly income.

1.10 Back-End Debt-to-Income Ratio

Formula:

Total monthly debt / gross monthly income = DTI.

Total monthly debt includes proposed housing payment plus recurring monthly debts counted by guidelines.

Common included debts:

- Proposed PITIA.
- Credit card minimum payments.
- Auto loans.
- Student loan payments.
- Personal loans.
- Child support.
- Alimony.
- Installment debts when required by guidelines.
- Other mortgage payments for retained properties.

Example:

- Gross monthly income: \$9,000.
- Proposed PITIA: \$2,950.
- Auto loan: \$525.
- Credit cards: \$150.
- Student loan: \$300.

Total monthly debt:

$\$2,950 + \$525 + \$150 + \$300 = \$3,925$.

DTI:

$\$3,925 / \$9,000 = 0.4361 = 43.61\%$.

Field meaning:

DTI helps evaluate ability to repay and program eligibility.

Exam trap:

Do not exclude a known debt just because it is inconvenient. If the borrower owes it and guidelines require counting it, it belongs in DTI.

1.11 Annual Income to Monthly Income

Formula:

Annual income / 12 = gross monthly income.

Example:

$\$84,000 / 12 = \$7,000$ per month.

Hourly income:

Hourly rate x hours per week x 52 / 12 = gross monthly income.

Example:

$\$28/\text{hour} \times 40 \text{ hours/week} \times 52 / 12 = \$4,853.33$ per month.

Biweekly pay:

Biweekly gross pay x 26 / 12 = gross monthly income.

Example:

$\$2,600 \text{ biweekly} \times 26 / 12 = \$5,633.33$ per month.

Semimonthly pay:

Semimonthly gross pay x 2 = gross monthly income.

Example:

\$3,100 twice per month x 2 = \$6,200 per month.

Weekly pay:

Weekly gross pay x 52 / 12 = gross monthly income.

Example:

\$1,200 weekly x 52 / 12 = \$5,200 per month.

Exam trap:

Biweekly is 26 pay periods per year. Semimonthly is 24 pay periods per year.

1.12 Overtime, Bonus, Commission, and Variable Income

Study rule:

Variable income generally requires history and likelihood of continuance. Company and investor guidelines control the actual calculation.

Basic averaging formula:

Total variable income over period / number of months = monthly average.

Example:

- Borrower earned \$12,000 overtime over 24 months.

Monthly average:

\$12,000 / 24 = \$500 per month.

Declining income caution:

If variable income is declining, do not simply average it blindly. Underwriting may require a more conservative approach or may not use it.

Field habit:

Ask:

- How long have you received this income?
- Is it likely to continue?
- Is it documented?
- Is it stable, increasing, or declining?

1.13 Self-Employment Income

Self-employed income is generally more complex because tax returns may show business deductions, add-backs, losses, depreciation, or distributions.

Basic concept:

Qualifying income is not gross receipts. It is analyzed income after guideline treatment.

Simple study formula:

Adjusted qualifying annual income / 12 = gross monthly qualifying income.

Example:

- Year 1 qualifying income: \$96,000.
- Year 2 qualifying income: \$108,000.
- Two-year total: \$204,000.

Monthly average:

\$204,000 / 24 = \$8,500.

Field warning:

Do not prequalify self-employed borrowers from bank deposits or gross revenue unless your company program specifically supports that and you are trained on it.

1.14 Rental Income

Rental income is guideline-specific.

Basic study concept:

Gross rent is usually adjusted for vacancy, expenses, or tax-return treatment.

Simple example:

- Market rent: \$2,000/month.
- Vacancy factor: 25%.

Qualifying rent:

$$\$2,000 \times 75\% = \$1,500.$$

If mortgage payment on rental property is \$1,300:

$$\$1,500 - \$1,300 = \$200 \text{ positive income.}$$

If payment is \$1,700:

$$\$1,500 - \$1,700 = \$200 \text{ liability.}$$

Field warning:

Always use company/investor rental income guidelines. Exam questions usually test concept, not investor-specific nuance.

1.15 Principal and Interest Payment

The full amortizing payment formula is:

$$\text{Monthly P\&I} = P \times [r(1+r)^n] / [(1+r)^n - 1]$$

Where:

- P = loan principal.
- r = monthly interest rate.
- n = total number of monthly payments.

Monthly interest rate:

$$\text{Annual rate} / 12.$$

Example:

Annual rate 6.75%:

$$0.0675 / 12 = 0.005625 \text{ monthly rate.}$$

For the exam:

You are usually not expected to manually compute full amortized payments without a payment factor or provided payment. Focus more on ratios, points, LTV, and simple interest.

Field note:

Loan origination systems and pricing engines calculate P&I. You still need to understand what changes payment:

- Higher loan amount increases payment.
- Higher rate increases payment.
- Shorter term usually increases monthly payment but lowers total interest.
- Longer term usually lowers monthly payment but increases total interest.

1.16 Interest-Only Payment

Formula:

$$\text{Loan amount} \times \text{annual interest rate} / 12 = \text{monthly interest-only payment.}$$

Example:

- Loan amount: \$300,000.
- Rate: 6%.

Calculation:

$$\$300,000 \times 0.06 / 12 = \$1,500 \text{ monthly interest-only payment.}$$

Exam warning:

Interest-only payments do not reduce principal.

1.17 Daily Interest / Per Diem Interest

Formula:

Loan amount x annual interest rate / 365 x number of days = prepaid interest.

Example:

- Loan amount: \$350,000.
- Rate: 6.5%.
- Days: 15.

Daily interest:

$\$350,000 \times 0.065 / 365 = \62.33 per day.

15 days:

$\$62.33 \times 15 = \934.95 .

Field meaning:

Prepaid interest often covers the period from closing/funding to the start of the first full payment cycle.

Exam trap:

Use annual rate as decimal. Use the number of days given. Do not use monthly rate for per diem unless the question instructs you.

1.18 Discount Points

Formula:

Loan amount x points percentage = dollar cost.

One point equals 1% of the loan amount.

Example 1:

- Loan amount: \$400,000.
- Points: 1.

$\$400,000 \times 0.01 = \$4,000$.

Example 2:

- Loan amount: \$400,000.
- Points: 0.75.

$\$400,000 \times 0.0075 = \$3,000$.

Example 3:

- Loan amount: \$400,000.
- Points: 1.5.

$\$400,000 \times 0.015 = \$6,000$.

Field meaning:

Points are not automatically good or bad. Compare:

- Upfront cost.
- Monthly payment savings.
- Break-even period.
- Expected time in the home/loan.
- Cash available.

1.19 Break-Even on Points

Formula:

Cost of points / monthly payment savings = months to break even.

Example:

- Points cost: \$4,000.
- Monthly savings: \$100.

Break-even:

$\$4,000 / \$100 = 40$ months.

Interpretation:

If borrower expects to keep the loan longer than 40 months, points may make financial sense. If borrower expects to sell/refinance sooner, points may not be worth it.

Field warning:

Do not guarantee future refinance opportunities.

1.20 Lender Credit

Lender credit is often tied to a higher rate and used to offset closing costs.

Formula:

Loan amount x credit percentage = lender credit.

Example:

- Loan amount: \$300,000.
- Lender credit: 0.50%.

$\$300,000 \times 0.005 = \$1,500$ lender credit.

Tradeoff:

Borrower pays less upfront but may pay more monthly.

1.21 Origination Fee

Formula:

Loan amount x origination percentage = origination fee.

Example:

- Loan amount: \$275,000.
- Origination fee: 1%.

$\$275,000 \times 0.01 = \$2,750$.

Compliance note:

Fees must be disclosed accurately and monitored under tolerance rules where applicable.

1.22 Seller Concessions

Seller concessions are contributions from seller toward buyer's closing costs or prepaid items, subject to program limits.

Simple formula:

Purchase price x allowed concession percentage = maximum concession.

Example:

- Purchase price: \$400,000.
- Allowed seller concession: 3%.

$\$400,000 \times 0.03 = \$12,000$.

Field note:

Program limits vary. Concessions generally cannot be used to create improper cash back to borrower.

1.23 Escrow Monthly Amount

Formula:

Annual escrow item / 12 = monthly escrow amount.

Example:

- Annual taxes: \$7,200.
- Annual insurance: \$1,800.

Monthly taxes:

$\$7,200 / 12 = \600 .

Monthly insurance:

$\$1,800 / 12 = \150 .

Total monthly escrow:

$\$750$.

1.24 Escrow Cushion

Regulation X generally limits the cushion to no more than one-sixth of estimated annual disbursements, unless loan documents or law require less.

Formula:

Annual escrow disbursements / 6 = maximum two-month cushion.

Example:

- Annual taxes: \$6,000.
- Annual insurance: \$1,200.
- Total annual escrow disbursements: \$7,200.

Maximum cushion:

$\$7,200 / 6 = \$1,200$.

Monthly escrow:

$\$7,200 / 12 = \600 .

Two-month cushion:

$\$600 \times 2 = \$1,200$.

Exam phrase:

One-sixth of annual disbursements equals about two months of escrow payments.

1.25 Escrow Shortage

Shortage:

Escrow account balance is below the target balance but not negative.

Study treatment:

- If shortage is less than one monthly escrow payment, servicer may require repayment within 30 days or spread over at least 12 months.
- If shortage is at least one monthly escrow payment, servicer may require repayment over at least 12 months.

Example:

- Monthly escrow payment: \$500.
- Shortage: \$300.

Because \$300 is less than one monthly escrow payment, servicer may require repayment within 30 days or spread over at least 12 months.

Example:

- Monthly escrow payment: \$500.
- Shortage: \$900.

Because \$900 is greater than or equal to one monthly escrow payment, repayment must be over at least 12 months if required.

1.26 Escrow Surplus

Study rule:

If escrow analysis shows a surplus of \$50 or more and borrower is current, servicer must refund it within 30 days from the analysis date.

If surplus is less than \$50, servicer may refund it or credit it against next year's escrow payments.

Example:

- Surplus: \$75.
- Borrower current.

Refund due within 30 days from analysis.

1.27 Cash to Close

Simplified formula:

Down payment + closing costs + prepaid items + initial escrow deposits - credits/deposits = cash to close.

Example:

- Down payment: \$20,000.
- Closing costs: \$8,500.
- Prepaids: \$1,200.
- Initial escrow: \$3,000.
- Earnest money deposit: \$5,000.
- Seller credit: \$4,000.

Cash to close:

$\$20,000 + \$8,500 + \$1,200 + \$3,000 - \$5,000 - \$4,000 = \$23,700.$

Field habit:

Always distinguish:

- Monthly payment.
- Cash to close.
- Total cost over time.

1.28 APR

APR is the cost of credit expressed as an annual rate. It includes interest and certain finance charges.

Exam concept:

APR is usually higher than the note rate when finance charges are included.

Do not confuse:

- Interest rate = rate used to calculate interest on principal.
- APR = broader cost-of-credit measure.

Manual APR calculation can be complex. For the SAFE exam, know concept, not full actuarial computation.

1.29 Finance Charge

Finance charge is the cost of consumer credit as a dollar amount.

Examples may include:

- Interest.
- Points.
- Loan fees charged as a condition of credit.
- Certain mortgage broker fees.

Not every fee is a finance charge. The exam usually tests whether you understand that finance charge is broader than interest.

1.30 FHA UFMIP Basic Study Calculation

FHA upfront mortgage insurance premium may be financed into the loan depending on program rules.

Study formula:

Base loan amount x UFMIP percentage = UFMIP.

Total loan amount if financed:

Base loan amount + UFMIP = total loan amount.

Example:

- Base loan amount: \$300,000.
- UFMIP: 1.75%.

UFMIP:

$\$300,000 \times 0.0175 = \$5,250.$

Total financed loan amount:

$$\$300,000 + \$5,250 = \$305,250.$$

Field warning:

Current FHA factors and rules can change. Use current company/FHA guidance.

1.31 VA Funding Fee Basic Study Calculation

Study formula:

Base loan amount x VA funding fee percentage = funding fee.

Total loan if financed:

Base loan amount + funding fee = total loan.

Example:

- Base loan amount: \$350,000.
- Funding fee: 2.15%.

Funding fee:

$$\$350,000 \times 0.0215 = \$7,525.$$

Total financed loan:

$$\$350,000 + \$7,525 = \$357,525.$$

Field warning:

VA funding fee depends on entitlement/use, down payment, service type, and exemption status. Use current VA/company guidance.

1.32 ARM Math

Fully indexed rate:

Index + margin = fully indexed rate.

Example:

- Index: 4.25%.
- Margin: 2.25%.

Fully indexed rate:

$$4.25\% + 2.25\% = 6.50\%.$$

Rate cap example:

ARM has 2/1/5 caps:

- Initial adjustment cap: 2%.
- Subsequent periodic cap: 1%.
- Lifetime cap: 5%.

Start rate:

5.50%.

Maximum first adjustment:

$$5.50\% + 2.00\% = 7.50\%.$$

Lifetime maximum:

$$5.50\% + 5.00\% = 10.50\%.$$

Exam trap:

If index + margin is higher than the cap allows, the cap controls.

1.33 Simple Qualification Example

Borrower:

- Annual salary: \$96,000.
- Monthly car loan: \$500.

- Credit card minimums: \$150.
- Proposed P&I: \$2,100.
- Taxes: \$650.
- Insurance: \$175.
- MI: \$125.
- HOA: \$0.

Step 1: Monthly income.

$$\$96,000 / 12 = \$8,000.$$

Step 2: Housing payment.

$$\$2,100 + \$650 + \$175 + \$125 = \$3,050.$$

Step 3: Front-end ratio.

$$\$3,050 / \$8,000 = 38.13\%.$$

Step 4: Total monthly debt.

$$\$3,050 + \$500 + \$150 = \$3,700.$$

Step 5: Back-end DTI.

$$\$3,700 / \$8,000 = 46.25\%.$$

Field conclusion:

The borrower may or may not qualify depending on program, credit, reserves, compensating factors, and underwriting system findings. Do not approve based only on this math.

1.34 Math Drill Set

1. Loan amount \$240,000, value \$300,000. LTV?

Answer: 80%.

1. Purchase price \$500,000, appraised value \$480,000, loan amount \$456,000. LTV using lower value?

Answer: 95%.

1. First lien \$280,000, HELOC limit \$70,000, value \$400,000. HCLTV?

Answer: 87.5%.

1. Gross monthly income \$7,500, housing \$2,250. Front-end ratio?

Answer: 30%.

1. Gross monthly income \$7,500, housing \$2,250, other debts \$900. Back-end DTI?

Answer: 42%.

1. Loan amount \$375,000, 0.75 points. Cost?

Answer: \$2,812.50.

1. Annual taxes \$8,400. Monthly tax escrow?

Answer: \$700.

1. Annual escrow disbursements \$9,600. Maximum two-month cushion?

Answer: \$1,600.

1. Loan amount \$420,000, rate 6.25%, 8 days prepaid interest. Approximate prepaid interest?

Answer: $\$420,000 \times 0.0625 / 365 \times 8 = \575.34 .

1. Index 4.75%, margin 2.00%, lifetime cap from start rate allows max 9.25%. Fully indexed rate?

Answer: 6.75%. Cap does not restrict because 6.75% is below 9.25%.

Part 2 - Business Day Rules and Date Counting

2.1 Why Date Counting Matters

Mortgage compliance often turns on:

- When an application was received.
- When a disclosure was delivered or placed in the mail.
- When the borrower is considered to have received it.
- Whether the rule uses business days, specific business days, calendar days, or timing based on consummation.

Exam questions often hide the answer in the date language.

2.2 General Business Day vs Specific Business Day

General business day:

A day on which the creditor's offices are open to the public for carrying on substantially all business functions.

Specific business day:

All calendar days except Sundays and legal public holidays.

Common use:

- Loan Estimate delivery within three business days after application: general business day.
- Closing Disclosure three-business-day waiting period: specific business day.
- Rescission period: specific business day.

Exam trap:

Saturday may count for one rule and not for another depending on the definition.

2.3 Calendar Day

Calendar days include every day unless the rule says otherwise.

Example:

If a rule says 30 calendar days, count weekends and holidays unless the rule has a special adjustment.

2.4 Counting Rule

Usually, do not count the triggering day. Start counting the next applicable day.

Example:

Application received Monday. Loan Estimate due within three general business days.

If creditor is open Monday-Friday:

- Tuesday = day 1.
- Wednesday = day 2.
- Thursday = day 3.

Due by Thursday.

2.5 Mailbox Rule / Deemed Receipt

For TRID disclosures not provided in person, the consumer is generally considered to have received them three business days after delivery or mailing, unless the creditor has evidence of earlier receipt.

Field meaning:

Electronic delivery still needs proper E-SIGN consent and evidence if relying on earlier receipt.

Example:

Closing Disclosure emailed Monday without same-day acknowledged receipt.

Deemed received Thursday.

Three-business-day CD waiting period starts after receipt. Earliest consummation depends on specific business day counting.

Part 3 - Master Timing and Letter Deadline Chart

3.1 High-Priority Timing Chart

Event / Document	Rule Area	Trigger	Deadline	Day Type	Field Notes
Loan Estimate	TRID / Reg Z 1026.19(e)	Receipt of six-item application	Deliver or place in mail within 3 business days after application	General business days	Also not later than 7 business days before consummation, unless exception applies.
Home Loan Toolkit / Special Information Booklet	RESPA / Reg X 1024.6	Written application for covered purchase loan	Deliver or mail within 3 business days after application	General business days	Not required if denied within 3-business-day period; not for many non-purchase/refi scenarios.
Closing Disclosure	TRID / Reg Z 1026.19(f)	Before consummation	Consumer must receive no later than 3 business days before consummation	Specific business days	If mailed/email without evidence, deemed received after 3 business days.
Revised Closing Disclosure with new waiting period	TRID	APR inaccurate, loan product changes, or prepayment penalty added	New 3-business-day waiting period before consummation	Specific business days	Other CD changes may need corrected CD but not restart waiting period.
Revised Loan Estimate	TRID	Valid changed circumstance or other permitted reason	Generally within 3 business days of receiving information sufficient to establish change	General business days	Consumer must receive revised LE no later than 4 business days before consummation.
ECOA action taken notice	ECOA / Reg B 1002.9	Completed application	Notify within 30 days	Calendar days	Approval, counteroffer, or adverse action.
ECOA adverse action on incomplete application	ECOA / Reg B	Adverse action on incomplete app	Notify within 30 days after adverse action unless notice of incompleteness used	Calendar days	If sufficient data to deny for other reason, give actual denial reason.
ECOA counteroffer not accepted	ECOA / Reg B	Counteroffer not expressly accepted or used	Notify within 90 days after counteroffer notice	Calendar days	Combined counteroffer/adverse action notice can avoid second notice.
Right of rescission	TILA / Reg Z 1026.23	Last of consummation, material disclosures, rescission notice	Consumer has until midnight of 3rd business day	Specific business days	Applies to many non-purchase principal dwelling transactions.
Creditor response after rescission	TILA	Creditor receives rescission notice	Return money/property and terminate security interest within 20 calendar days	Calendar days	Subject to rule details.
Initial escrow statement	RESPA / Reg X 1024.17	Escrow account established as condition of loan	At settlement or within 45 calendar days after settlement	Calendar days	For escrow established after settlement, within 45 calendar days of establishment.
Annual escrow statement	RESPA / Reg X 1024.17	Completion of escrow computation year	Within 30 days after computation year completion	Calendar days	Includes history and projection.
Escrow surplus refund	RESPA / Reg X 1024.17	Escrow analysis shows surplus \$50 or more and borrower current	Refund within 30 days from analysis	Calendar days	Less than \$50 may be refunded or credited.
Servicing transfer notice - transferor	RESPA / Reg X 1024.33	Transfer of loan servicing	Not less than 15 days before effective date	Calendar days unless rule states otherwise	Joint notice may be used.
Servicing transfer notice - transferee	RESPA / Reg X 1024.33	Transfer of loan servicing	Not more than 15 days after effective date	Calendar days unless rule states otherwise	Certain emergency/servicer failure situations allow later notice.

Mortgage ownership transfer disclosure	TILA / Reg Z 1026.39	Covered person becomes legal owner of existing mortgage loan	On or before 30th calendar day after transfer	Calendar days	Different from servicing transfer.
High-cost mortgage disclosure	HOEPA / Reg Z 1026.31/1026.32	High-cost mortgage	At least 3 business days before consummation/account opening	Specific rule timing	Redisclosure may trigger new waiting period.

3.2 TRID Application Trigger

TRID application occurs when the creditor receives these six items:

1. Consumer's name.
2. Consumer's income.
3. Consumer's Social Security number to obtain a credit report.
4. Property address.
5. Estimated property value.
6. Mortgage loan amount sought.

Company may collect more information, but cannot avoid the Loan Estimate timing trigger by adding extra required items.

Field warning:

Once you have the six items, assume a disclosure clock started. Tell your team immediately.

3.3 Loan Estimate Timing

Rule:

The Loan Estimate must be delivered or placed in the mail not later than the third business day after receiving the application.

Also:

It must generally be delivered or placed in the mail not later than the seventh business day before consummation.

Example 1:

- Application received Monday.
- Creditor open Monday-Friday.

Count:

- Tuesday = day 1.
- Wednesday = day 2.
- Thursday = day 3.

LE due by Thursday.

Example 2:

- Application received Friday.
- Creditor open Monday-Friday.

Count:

- Monday = day 1.
- Tuesday = day 2.
- Wednesday = day 3.

LE due by Wednesday.

Exam trap:

The day of application is not day 1.

3.4 Fees Before Loan Estimate

Study rule:

Generally, the creditor or other person may not impose fees before the consumer receives the Loan Estimate and indicates intent to proceed, except a bona fide and reasonable fee for obtaining a credit report.

Field habit:

Do not collect appraisal, processing, underwriting, or application fees before the timing and intent-to-proceed rules are satisfied.

3.5 Intent to Proceed

Intent to proceed means the consumer communicates that they want to move forward after receiving the Loan Estimate.

Field warning:

Silence is not intent. Company policy controls how intent is documented.

Good file note:

"Borrower received LE on 05/26/2026 and verbally indicated intent to proceed by phone on 05/26/2026 at 3:10 PM Central. Documented per company procedure."

3.6 Changed Circumstance

Changed circumstance may include:

- Extraordinary event beyond control.
- Information relied on was inaccurate or changed.
- New information specific to consumer or transaction.
- Borrower-requested change.
- Rate lock event affecting charges.
- Expiration of original Loan Estimate.

Study rule:

A revised Loan Estimate is not a tool to fix careless quoting. There must be a permitted reason.

Common field examples:

- Borrower changes loan amount.
- Borrower changes loan product.
- Property value differs from estimate.
- Borrower changes settlement-service provider.
- Rate lock changes pricing.
- Appraisal identifies property issue affecting costs.

3.7 Revised Loan Estimate Timing

Study rule:

When a valid reason permits revision, provide the revised Loan Estimate within three business days after receiving information sufficient to establish the changed circumstance.

Also:

The consumer must receive a revised Loan Estimate no later than four business days before consummation.

Field warning:

Once the Closing Disclosure has been provided, a revised LE generally cannot be used for tolerance reset. Certain changes are reflected on the CD instead.

3.8 Closing Disclosure Timing

Rule:

The consumer must receive the Closing Disclosure no later than three business days before consummation.

Specific business day:

All calendar days except Sundays and legal public holidays.

Example:

CD received Monday.

Count:

- Tuesday = day 1.
- Wednesday = day 2.
- Thursday = day 3.

Earliest consummation: Thursday.

If CD is mailed Monday and no evidence of earlier receipt:

- Deemed received Thursday.
- Friday = day 1.
- Saturday = day 2 if not legal public holiday.
- Monday = day 3 if Sunday excluded.

Earliest consummation: Monday, assuming no legal holiday.

3.9 Closing Disclosure Changes That Restart Waiting Period

Only three major changes require a new three-business-day waiting period:

1. APR becomes inaccurate.
2. Loan product changes.
3. Prepayment penalty is added.

Examples that may require corrected CD but not restart:

- Minor fee adjustment.
- Seller credit adjustment.
- Escrow amount change.
- Typographical correction.
- Real estate commission adjustment.

Field habit:

When the CD changes, ask two questions:

1. Does the borrower need a corrected CD?
2. Does the change restart the waiting period?

3.10 Right of Rescission Timing

Applies:

Many non-purchase money mortgage transactions secured by the borrower's principal dwelling.

Usually does not apply:

Purchase-money mortgage used to buy the home.

Clock starts after the last of:

- Consummation.
- Delivery of material TILA disclosures.
- Delivery of notice of right to rescind.

Consumer may rescind until midnight of the third business day.

Specific business day:

All calendar days except Sundays and legal public holidays.

Example:

Refinance of principal dwelling closes Monday. Borrower receives correct disclosures and rescission notice Monday.

Count:

- Tuesday = day 1.
- Wednesday = day 2.
- Thursday = day 3.

Rescission expires midnight Thursday. Funding typically may occur after rescission expires, subject to company process.

If closing is Friday:

- Saturday = day 1.
- Sunday = not counted.
- Monday = day 2.
- Tuesday = day 3.

Expires midnight Tuesday, assuming no legal holiday.

3.11 ECOA / Regulation B Timing

Completed application:

Once the creditor has all information it normally considers to make a credit decision, it must notify applicant of action taken within 30 days.

Action taken can be:

- Approval.
- Counteroffer.
- Adverse action.

Incomplete application:

If creditor takes adverse action on an incomplete application, notice is due within 30 days after taking adverse action unless notice of incompleteness procedure is used.

Counteroffer:

If creditor makes a counteroffer and applicant does not expressly accept or use the offered credit, creditor must notify within 90 days after counteroffer notice, unless combined notice was used.

Exam trap:

If a creditor denies based on available information, it cannot say the reason was "incomplete application" when the real reason was credit, income, collateral, or other underwriting failure.

3.12 Notice of Incompleteness

Under ECOA, when an application is incomplete and the creditor lacks enough information for a decision, the creditor may send a notice of incompleteness.

Strong notice should identify:

- Information needed.
- Reasonable deadline to provide it.
- Consequence of not providing it.

Field habit:

Do not let files sit in silence. A borrower who does not provide documents needs clear written follow-up through company-approved channels.

3.13 RESPA Home Loan Toolkit / Special Information Booklet

Rule:

For covered purchase loan applications, lender must provide the special information booklet by delivering or placing it in the mail not later than three business days after application is received or prepared.

One copy is enough for joint applicants applying together.

If application is denied before the end of the three-business-day period, booklet is not required.

Study title:

The modern booklet is commonly known as "Your Home Loan Toolkit."

Field note:

This is educational. It does not replace the Loan Estimate.

3.14 Initial Escrow Statement

Rule:

For escrow accounts established as a condition of the loan, servicer submits initial escrow account statement at settlement or within 45 calendar days after settlement.

For escrow established after settlement and not as condition of loan:

Within 45 calendar days of establishment.

Field meaning:

The initial escrow statement shows expected deposits, disbursements, and monthly escrow portion.

3.15 Annual Escrow Statement

Rule:

Servicer must submit annual escrow statement within 30 days after completion of escrow account computation year.

Statement includes:

- Account history.
- Projection for next year.
- Shortage, deficiency, or surplus information.

3.16 Servicing Transfer Notice

Servicing transfer means the party collecting payments changes.

Transferor servicer:

Notice not less than 15 days before effective transfer date.

Transferee servicer:

Notice not more than 15 days after effective transfer date.

Single combined notice:

May be provided not less than 15 days before effective transfer date.

Exam distinction:

Servicing transfer is not the same as ownership transfer.

3.17 Mortgage Ownership Transfer Disclosure

Ownership transfer means legal ownership of the mortgage loan is sold, transferred, or assigned to a covered person.

Rule:

Covered person must mail or deliver disclosures on or before the 30th calendar day following the date of transfer, unless exception applies.

Exam distinction:

The borrower may keep sending payments to same servicer even when ownership changed. Servicing and ownership are separate concepts.

3.18 High-Cost Mortgage Timing

High-cost mortgage disclosures under HOEPA:

Must be furnished at least three business days before consummation or account opening.

If redisclosure is required because terms change in a way that affects required disclosures, a new waiting period may apply.

Field warning:

High-cost mortgage rules are serious. Escalate to compliance.

Part 4 - Date Counting Examples

4.1 Loan Estimate Example: Monday Application

Facts:

- Creditor receives six-item application Monday.
- Creditor open Monday through Friday.

Question:

When is LE due?

Answer:

Thursday.

Count:

- Tuesday = 1.
- Wednesday = 2.
- Thursday = 3.

4.2 Loan Estimate Example: Thursday Application, Monday Holiday

Facts:

- Application received Thursday.
- Creditor open Monday-Friday.
- Monday is legal public holiday and office closed.

Count:

- Friday = 1.
- Monday = not counted if office not open for substantially all business.
- Tuesday = 2.
- Wednesday = 3.

LE due Wednesday.

4.3 Closing Disclosure Example: Received Wednesday

Facts:

- CD received Wednesday.
- No legal holidays.
- Closing/consummation desired Saturday.

Count:

- Thursday = 1.
- Friday = 2.
- Saturday = 3.

Earliest consummation:

Saturday, if settlement operations and state law/company process allow.

4.4 Closing Disclosure Example: Emailed Wednesday Without Acknowledgment

Facts:

- CD emailed Wednesday.
- No E-SIGN issue for this example.
- No evidence of earlier receipt.
- No legal holidays.

Deemed receipt:

Saturday, three business days after email delivery using specific business days.

Waiting period:

- Monday = 1, because Sunday excluded.
- Tuesday = 2.
- Wednesday = 3.

Earliest consummation:

Wednesday.

Field warning:

In real operations, companies often require e-consent and positive acknowledgment to rely on earlier receipt.

4.5 Rescission Example: Thursday Refinance Closing

Facts:

- Principal dwelling refinance closes Thursday.
- Correct disclosures and rescission notice delivered Thursday.
- No legal holidays.

Count:

- Friday = 1.
- Saturday = 2.
- Sunday = not counted.
- Monday = 3.

Rescission expires:

Midnight Monday.

Funding:

Usually after rescission period expires, subject to company and funding procedures.

4.6 ECOA Example: Completed Application

Facts:

- Completed application received May 1.
- Creditor has all information normally considered.

Deadline:

Notify action taken within 30 days.

If counting calendar days:

Due by May 31, subject to exact company/regulatory counting procedures.

Study focus:

Remember 30 days after completed application.

4.7 Servicing Transfer Example

Facts:

- Effective servicing transfer date: July 1.

Transferor notice:

Due not less than 15 days before July 1.

Transferee notice:

Due not more than 15 days after July 1.

Practical interpretation:

Borrower should know before and shortly after where payments go, who to contact, and effective date.

Part 5 - Letters and Notices: What They Are For

5.1 Loan Estimate

Purpose:

Gives borrower good-faith estimate of loan terms, projected payments, closing costs, cash to close, rate lock status, and comparison information.

Exam focus:

- Trigger: six-item application.
- Deadline: within 3 general business days.
- Cannot require verification documents first.
- Fees restricted before receipt and intent to proceed.

Field habit:

Review LE with borrower in plain English:

- Loan amount.
- Interest rate.
- Monthly principal and interest.
- Estimated total monthly payment.
- Estimated taxes/insurance/escrow.
- Closing costs.
- Cash to close.
- Rate lock status.
- Prepayment penalty or balloon, if any.

5.2 Closing Disclosure

Purpose:

Final or near-final disclosure of loan terms, closing costs, cash to close, summaries of transaction, and loan calculations.

Exam focus:

- Must be received at least 3 specific business days before consummation.
- New waiting period only for APR inaccurate, loan product change, or prepayment penalty added.

Field habit:

Review CD against LE:

- Did rate change?
- Did loan product change?
- Did cash to close change?
- Did fees move tolerance categories?
- Did seller credits change?
- Did escrow/prepays change?
- Are borrower names/property/loan terms correct?

5.3 Adverse Action Notice

Purpose:

Tells applicant credit was denied, countered, revoked, or otherwise adversely acted upon, and provides reasons or right to reasons as required.

Exam focus:

- ECOA timing: generally 30 days after completed application for action taken.
- Must provide specific reasons or notice of right to reasons.
- FCRA may add credit-report-related disclosures when credit information contributed.

Good denial reasons:

- Insufficient income.
- Excessive obligations in relation to income.
- Credit history does not meet requirements.
- Collateral value insufficient.
- Unable to verify employment.

Bad denial reason:

"Application incomplete" when the creditor had enough information and actually denied because credit score was too low.

5.4 Notice of Incompleteness

Purpose:

Tells applicant what information is missing and gives reasonable time to provide it.

Field use:

Use when borrower has not supplied documents needed for credit decision and company process calls for it.

Should include:

- Missing items.

- Deadline.
- Consequence if not provided.
- Contact method.

5.5 Servicing Transfer Notice

Purpose:

Tells borrower that loan servicing is being transferred.

Should identify:

- Effective transfer date.
- Old servicer contact.
- New servicer contact.
- Date old servicer stops accepting payments.
- Date new servicer starts accepting payments.
- Payment instructions.
- Complaint/inquiry contact details.

Exam focus:

- Transferor: at least 15 days before effective date.
- Transferee: not more than 15 days after effective date.

5.6 Mortgage Ownership Transfer Disclosure

Purpose:

Tells borrower legal ownership of the mortgage loan was transferred.

Exam focus:

- Due on or before 30th calendar day after transfer.
- Not the same as servicing transfer.

5.7 Initial Escrow Account Statement

Purpose:

Shows expected escrow deposits and disbursements for taxes, insurance, and other escrowed items.

Exam focus:

- At settlement or within 45 calendar days after settlement when escrow established as condition of loan.

5.8 Annual Escrow Account Statement

Purpose:

Shows prior-year escrow activity and next-year projection.

Exam focus:

- Within 30 days after escrow computation year ends.
- Surplus \$50 or more refunded within 30 days if borrower current.

5.9 Notice of Right to Rescind

Purpose:

Tells borrower they have a legal right to cancel certain non-purchase transactions secured by their principal dwelling.

Exam focus:

- Three business days.
- Each consumer with ownership interest must receive proper notice.
- Purchase loans generally excluded.
- If required notice/material disclosures not properly given, rescission period may extend under TILA.

5.10 High-Cost Mortgage Disclosure

Purpose:

Gives special HOEPA disclosures for high-cost mortgages.

Exam focus:

- At least three business days before consummation or account opening.
 - High-cost mortgages have major restrictions.
 - Escalate to compliance in field.
-

Part 6 - Tolerance Buckets and Fee Changes

6.1 Why Tolerance Rules Matter

Tolerance rules determine whether a fee increase from LE to CD is allowed or whether the creditor must cure the difference.

Exam concept:

The Loan Estimate is a good-faith disclosure. Some fees cannot increase, some can increase within limits, and some can change if disclosed based on best information reasonably available.

6.2 Zero Tolerance

Generally cannot increase without valid exception:

- Creditor/lender fees.
- Mortgage broker fees.
- Transfer taxes.
- Fees paid to affiliates.
- Fees paid to unaffiliated third-party providers when borrower was not permitted to shop.

Field habit:

Treat lender-controlled charges as high-risk for tolerance cures.

6.3 10% Cumulative Tolerance

Certain fees can increase by no more than 10% in aggregate:

- Recording fees.
- Charges for third-party services where borrower may shop but selects provider from creditor's written list.

Exam trap:

The 10% is cumulative for the bucket, not necessarily each fee individually.

6.4 No Tolerance / Can Change

Examples:

- Prepaid interest.
- Property insurance premiums.
- Amounts placed into escrow.
- Charges paid to third-party service providers selected by consumer and not on creditor's list.
- Charges for services not required by creditor.

Field warning:

"Can change" does not mean "can be misleading." Disclose based on best available information.

6.5 Tolerance Cure Example

Facts:

- 10% bucket on LE: \$1,000.
- Actual 10% bucket on CD: \$1,140.

Allowed increase:

$\$1,000 \times 10\% = \100 .

Maximum allowed:

\$1,100.

Cure:

$\$1,140 - \$1,100 = \$40$.

Creditor must cure \$40 if no valid changed circumstance applies.

Part 7 - Full File Timeline From Lead to Post-Closing

7.1 Lead / Inquiry

Goal:

Understand borrower need without making unsupported promises.

MLO duties:

- Avoid discriminatory questions.
- Avoid guaranteed approvals.
- Avoid quoting unsupported terms.
- Explain process.
- Identify whether borrower is shopping, ready to apply, or just learning.

Safe statement:

"I can walk through general options. Once we have an application and documents, we can verify program fit and issue required disclosures."

7.2 Application

Trigger:

Six TRID items received.

Immediate action:

- Confirm application date.
- Ensure disclosure team/LOS has accurate data.
- Issue LE on time.
- Provide toolkit if applicable.
- Follow company credit authorization and privacy procedures.

7.3 Disclosures

Key documents:

- Loan Estimate.
- Intent to proceed.
- Home Loan Toolkit if required.
- Other state/federal/company disclosures.
- Service provider list.

MLO field role:

Explain, do not alter or minimize.

7.4 Processing

Goal:

Collect, organize, and verify file documents.

MLO duties:

- Help borrower understand document requests.
- Avoid coaching false explanations.
- Track missing items.
- Communicate deadlines.

7.5 Underwriting

Goal:

Determine if loan meets program and risk requirements.

MLO duties:

- Do not argue unsupported positions.
- Provide facts and documentation.
- Help clear conditions.
- Keep borrower updated.

7.6 Closing

Key timing:

- CD received at least 3 specific business days before consummation.
- Watch for changes that restart waiting period.
- Rescission applies to certain refinance/home equity transactions.

MLO duties:

- Review CD with borrower.
- Explain cash to close.
- Warn about wire fraud using company-approved language.
- Avoid last-minute undocumented promises.

7.7 Post-Closing

Possible notices:

- Servicing transfer.
- Ownership transfer.
- Escrow statements.

MLO duties:

- Help borrower understand who receives payment.
- Do not give servicing instructions outside official notices.
- Maintain relationship for future service and referrals.

Part 8 - Texas-Specific Caution Manual

8.1 Texas Agency Awareness

Texas has two important mortgage origination regulators:

- Texas Department of Savings and Mortgage Lending.
- Texas Office of Consumer Credit Commissioner.

Field rule:

Your company should tell you which license/sponsorship applies to your role and products. Do not assume.

8.2 Texas "One-Off" Origination Warning

Texas SML guidance makes clear that Texas law does not allow casual or "one-off" loan origination without a required license.

Exam scenario:

A person helps one friend originate a loan for a small fee.

Correct answer:

If the activity requires licensing and no exemption applies, a license is required even if it is only once.

8.3 Texas Homestead and Home Equity

Texas homestead lending is unusually sensitive.

Field rule:

Do not improvise Texas home equity answers. Escalate.

Risk areas:

- Permitted lien types.
- Closing location.
- Notices.
- Fee limits.
- Timing requirements.
- Cash-out refinance restrictions.
- Cure rules.

Exam strategy:

If Texas home equity appears, choose the cautious compliance answer.

Part 9 - Exam Attack Sheets

9.1 Math Formula Sheet

Topic	Formula
LTV	$\text{Loan amount} / \text{property value}$
CLTV	$\text{Total liens} / \text{property value}$
HCLTV	$\text{Total liens including full HELOC line} / \text{property value}$
Down payment	$\text{Purchase price} - \text{loan amount}$
Equity	$\text{Property value} - \text{total liens}$
Front-end ratio	$\text{Housing payment} / \text{gross monthly income}$
Back-end DTI	$\text{Total monthly debt} / \text{gross monthly income}$
Annual to monthly income	$\text{Annual income} / 12$
Hourly to monthly income	$\text{Hourly rate} \times \text{weekly hours} \times 52 / 12$
Biweekly to monthly income	$\text{Biweekly gross} \times 26 / 12$
Semimonthly to monthly income	$\text{Semimonthly gross} \times 2$
Weekly to monthly income	$\text{Weekly gross} \times 52 / 12$
One point	$\text{Loan amount} \times 1\%$
Discount points	$\text{Loan amount} \times \text{point percentage}$
Break-even	$\text{Cost} / \text{monthly savings}$
Monthly escrow	$\text{Annual escrow item} / 12$
Escrow cushion	$\text{Annual escrow disbursements} / 6$
Daily interest	$\text{Loan amount} \times \text{annual rate} / 365 \times \text{days}$
ARM fully indexed rate	$\text{Index} + \text{margin}$
Interest-only payment	$\text{Loan amount} \times \text{annual rate} / 12$
Seller concession max	$\text{Purchase price} \times \text{allowed percentage}$

9.2 Timing Attack Sheet

Deadline	Memorize
Loan Estimate	3 business days after application
Home Loan Toolkit	3 business days after covered purchase application
Closing Disclosure	Received 3 business days before consummation
CD restart	APR inaccurate, product change, prepayment penalty added
Revised LE	Within 3 business days of valid change; received no later than 4 business days before consummation
Earliest consummation after LE	LE not later than 7 business days before consummation
ECOA action taken	30 days after completed application
ECOA incomplete adverse action	30 days after adverse action unless incompleteness notice
ECOA counteroffer not accepted	90 days after counteroffer notice
Rescission	3 business days after last trigger
Creditor after rescission	20 calendar days
Initial escrow statement	Settlement or 45 calendar days after settlement
Annual escrow statement	30 days after escrow computation year ends
Escrow surplus refund	30 days if surplus >= \$50 and borrower current
Servicing transfer - old servicer	At least 15 days before transfer
Servicing transfer - new servicer	No more than 15 days after transfer
Mortgage ownership transfer	30 calendar days after transfer
High-cost mortgage disclosure	At least 3 business days before consummation/account opening

9.3 Wrong Answer Warning Signs

Be suspicious when an answer:

- Lets the MLO keep a referral fee.
- Delays the LE until documents are verified.
- Says a purchase loan has rescission.
- Ignores Saturday in rescission/CD timing.
- Uses net income for DTI when gross income is required.
- Leaves out known debt.
- Treats "one-time" origination as exempt by itself.
- Says the CD waiting period restarts for every small fee change.
- Treats servicing transfer and ownership transfer as the same.
- Allows appraiser pressure.
- Lets the borrower choose not to disclose material facts.

Part 10 - Advanced Practice Scenarios

Scenario 1 - Loan Estimate Deadline

Facts:

Borrower gives name, income, SSN for credit, property address, estimated value, and loan amount on Tuesday. The creditor is open Monday-Friday.

Question:

When is the Loan Estimate due?

Answer:

Friday.

Reason:

Wednesday day 1, Thursday day 2, Friday day 3.

Scenario 2 - Cannot Delay LE

Facts:

Borrower gives all six application items. MLO says, "Send bank statements first, then I will issue your Loan Estimate."

Correct answer:

Improper. Verification documents cannot be required before issuing the Loan Estimate.

Scenario 3 - CD Restart

Facts:

CD received Monday. On Tuesday, APR becomes inaccurate.

Correct answer:

Corrected CD and new three-business-day waiting period required.

Scenario 4 - CD Change No Restart

Facts:

CD received Monday. On Tuesday, prepaid taxes decrease by \$75.

Correct answer:

Corrected CD may be needed, but this change alone does not restart the three-business-day waiting period.

Scenario 5 - Refinance Rescission

Facts:

Primary residence refinance closes Tuesday. Correct rescission notice and disclosures delivered Tuesday. No holidays.

Answer:

Rescission expires midnight Friday.

Count:

Wednesday day 1, Thursday day 2, Friday day 3.

Scenario 6 - Purchase Rescission Trap

Facts:

Borrower buys a primary residence with a purchase-money mortgage and asks to cancel three days after closing under TILA rescission.

Answer:

Standard right of rescission generally does not apply to purchase-money mortgage.

Scenario 7 - DTI

Facts:

Gross monthly income: \$10,000.

P&I: \$2,500.

Taxes: \$700.

Insurance: \$200.

HOA: \$100.

Car: \$450.

Credit cards: \$150.

Student loan: \$300.

Question:

Back-end DTI?

Answer:

Housing = \$2,500 + \$700 + \$200 + \$100 = \$3,500.

Total debt = \$3,500 + \$450 + \$150 + \$300 = \$4,400.

DTI = \$4,400 / \$10,000 = 44%.

Scenario 8 - Servicing vs Ownership Transfer

Facts:

Borrower receives notice that a new company owns the loan, but payments still go to same servicer.

Correct concept:

Ownership transfer and servicing transfer are different. A loan can be sold while servicing remains the same.

Scenario 9 - Escrow Surplus

Facts:

Escrow analysis shows \$90 surplus. Borrower is current.

Answer:

Servicer must refund within 30 days from analysis.

Scenario 10 - Texas One-Off

Facts:

A person offers to negotiate residential mortgage terms for a neighbor for a \$500 fee one time.

Answer:

If licensing is required and no exemption applies, one-time activity does not avoid Texas licensing requirements.

Part 11 - Field Execution Scripts

11.1 Explaining Loan Estimate Timing

"Once we have the six application items, the disclosure clock starts. We will issue the Loan Estimate within the required timeframe. I cannot delay that until after every document is verified."

11.2 Explaining Closing Disclosure Timing

"You must receive the Closing Disclosure at least three business days before signing. Some changes require a corrected disclosure, but only specific major changes restart the waiting period."

11.3 Explaining Rescission

"For certain refinances or home equity loans on a principal residence, you may have three business days after closing to cancel. This generally does not apply to purchase loans."

11.4 Explaining DTI

"Debt-to-income compares your required monthly debts to your gross monthly income. It is one factor in underwriting, not the only factor."

11.5 Explaining Cash to Close

"Cash to close is not just down payment. It can include closing costs, prepaid interest, insurance, escrow deposits, and credits or deposits already paid."

11.6 Explaining Points

"Points are upfront costs paid to reduce the rate. The question is whether the monthly savings justify the upfront cost based on how long you expect to keep the loan."

11.7 Explaining Escrow

"Escrow does not remove taxes or insurance. It spreads the expected annual cost into monthly payments so the servicer can pay those bills when due."

11.8 Explaining Why You Need Documents

"The underwriter has to verify the facts used to approve the loan. I am not asking for documents to make the process harder; I am asking because the file has to support the loan decision."

11.9 Refusing to Hide Debt

"We cannot leave out a known debt. The application and loan file must be accurate. Let's document it correctly and see what programs still work."

11.10 Refusing Referral Fees

"I cannot pay or receive anything of value for a settlement-service referral. Any marketing arrangement has to be reviewed and approved by compliance."

Part 12 - Final 48-Hour Study Plan for Math and Timing

12.1 First 24 Hours

Math:

- LTV, CLTV, HCLTV.
- DTI.
- Income conversion.
- Points.
- Daily interest.
- Escrow.

Timing:

- L.E.
- CD.
- Rescission.
- ECOA notices.
- Servicing transfer.
- Escrow statements.

Drill:

Do 25 math problems and 25 timing questions.

12.2 Final 24 Hours

Do not expand into obscure material.

Review:

- Formula sheet.
- Timing attack sheet.
- Wrong answer warning signs.
- 10 advanced scenarios.
- Missed flashcards only.

Before sleeping:

Write from memory:

- Six TRID application items.
- Three CD restart events.
- ECOA 30/90-day rules.
- Rescission three-day rule.
- LTV/DTI/points/daily interest formulas.